

POL-005

Sustainable Finance & ESG Disclosure Policy

Asset Management | Group Functions

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About this policy: This policy explains KBC's commitment to sustainable finance — integrating ESG into investment decisions, disclosing our environmental footprint honestly, and taking responsibility for the impacts of our portfolio.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

Contents

- 1 Introduction
- 2 Who This Policy Applies To
- 3 KBC's Commitment to Sustainable Finance
- 4 What Responsible Investment Means at KBC
- 5 How We Assess and Disclose ESG Risks
- 6 Climate Change and KBC's Role
- 7 Our Supply Chain and Human Rights
- 8 Your Role
- 9 Getting Help
- 10 Policy Review

1. Introduction

KBC believes that the way we deploy capital has real-world consequences — for the environment, for society, and for the long-term health of the economies we operate in. Sustainable finance is not a compliance checkbox for us. It is a reflection of our genuine belief that businesses that ignore environmental, social, and governance risks are not managing their businesses well.

At year-end 2024, KBC Asset Management managed EUR 51 billion in responsible investment funds. We were the first Belgian asset manager to launch a fund with an AI-driven investment strategy. These achievements reflect a culture that takes environmental and social responsibility seriously. This policy explains what that culture means for every employee.

2. Who This Policy Applies To

This policy applies to all KBC employees, with particular relevance to those in asset management, investment advisory, corporate lending, insurance, and sustainability reporting. It also applies to those involved in KBC's procurement activities.

3. KBC's Commitment to Sustainable Finance

KBC is committed to integrating environmental, social, and governance (ESG) considerations into every material financial decision we make. We do not simply exclude the worst actors from our portfolios and call it sustainable. We actively seek to understand the ESG risk profile of everything we finance and invest in.

KBC published its first sustainability statement under the Corporate Sustainability Reporting Directive, covering greenhouse gas emissions, our climate transition plan, biodiversity commitments, employee standards, and business conduct. It represents a commitment to transparency that we take seriously.

4. What Responsible Investment Means at KBC

KBC Asset Management classifies its funds according to their sustainability characteristics. Some funds make sustainable investment their primary objective. Others promote environmental or social characteristics while maintaining broader investment flexibility. Our exclusion policy prohibits investment in companies involved in controversial weapons, tobacco manufacturing, or companies in serious and persistent breach of international human rights standards. These are not simply legal requirements — they reflect KBC's values.

What is a 'principal adverse impact'?

A principal adverse impact is the negative effect that an investment decision has on sustainability factors — for example, investing in a company that emits large quantities of greenhouse gases or that has poor labour practices. We are required to measure and disclose these impacts across our entire investment portfolio. This means we need to know what we are investing in and what the real-world consequences are.

5. How We Assess and Disclose ESG Risks

KBC uses AI-powered screening systems to assess the ESG risk profile of our lending and investment portfolios. These tools are valuable but are not a substitute for human judgment. If a tool indicates elevated ESG risk in a transaction, the right response is to investigate further, not to override the flag. All new corporate lending applications and investment mandates are screened against KBC's ESG risk framework. Applications that score poorly require additional scrutiny. We do not ignore ESG risks because a client is commercially important.

6. Climate Change and KBC's Role

Climate change is a material financial risk. Physical risks affect the value of collateral we hold and borrowers' ability to repay. Transition risks affect the viability of entire industries we lend to and invest in. KBC has committed to a net-zero pathway and is working toward reducing financed emissions in our lending and investment portfolio. Our climate transition plan sets out concrete targets and timelines. You are part of delivering that plan.

7. Our Supply Chain and Human Rights

KBC's responsibility does not stop at the boundary of our own operations. We have obligations — legal and ethical — to ensure that the businesses we finance, invest in, and procure from are not engaged in human rights abuses or environmental harm. Our supplier due diligence programme assesses the human rights and environmental practices of our significant suppliers annually.

8. Your Role

- When assessing any lending or investment opportunity, consider the ESG profile alongside the financial profile.
- Flag ESG concerns — never ignore a red flag because a deal is commercially attractive.
- Ensure ESG disclosures you prepare are accurate and complete.
- If you manage supplier relationships, keep ESG performance under review.

9. Getting Help

- **Group Sustainability Team** — for ESG assessment guidance.
- **KBC Compliance Advisory** — for disclosure questions.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually in line with KBC's sustainability reporting cycle.